

China: Credit growth slowed in May and reached another historical low

New aggregate financing (AF) growth in May came in below market expectations, with outstanding AF growth declining to 7.7% y-o-y from 7.8% in April, a historical low. The composition of credit data looks very similar to that of the previous two months. Within AF, the primary drags were new RMB loans and government bond issuance, which more than offset relatively sanguine corporate bond issuance. Outstanding RMB loan growth also fell to a fresh historical low of 5.5% in May from 5.6% in April, weighed down mainly by the household sector. As in April, May new loans in the corporate sector appear to be adequate on the surface, as they exceeded year earlier levels, but this was primarily attributable to a substantial volume of bill financing again, which is not a genuine indicator of corporate credit demand. Stripping out this distortion, the headline new RMB loan figure would look even weaker. In addition, new household loans still look highly concerning, with both new short-term and long-term loans recording negative growth. Government bond issuance was again surprisingly weaker than year earlier levels in May. Looking ahead, we still expect government bond issuance to accelerate in coming months, owing to Beijing's need to support contracting fixed asset investment, which in turn should help to steady credit expansion.

PBoC's liquidity withdrawal aimed at protecting the framework and reducing risks

Persistently low market interest rates have caught the PBoC's attention recently. Interbank rates drifted well below the 1.40% policy rate from early April, with DR007 touching sub-1.3% in May, as the PBoC had injected substantial liquidity via MLF, PSL and outright reverse repos earlier this year. Banks are flush with cash but are facing record-low credit demand channelled funds into the bond market instead, compressing the 10-year CGB yield to ~1.7%. On the FX side, the RMB has appreciated modestly against the USD year-to-date despite a widening of the US-China rate differential. The PBoC has since moved to drain excess liquidity by shrinking daily OMO sizes to record lows and instructing state-owned banks to curb interbank lending via window guidance, which has achieved certain successes, as the DR007 returned to above-1.4% levels this week. In our view, the objectives of the PBoC are to restore the rate corridor's signalling function, arrest financial idle circulation that risks building up vulnerabilities in the bond market, and stop the self-reinforcing decline in CGB yields. We do not interpret this as the PBoC preserving space for rate or RRR cuts this year – we maintain our baseline of no such action in 2026.

A review of May's credit data

- New aggregate financing totalled RMB2,029bn in May, far below market expectations (Consensus: RMB2,029bn; Nomura: RMB1,316bn; May 2025: RMB2,290bn), with growth in outstanding AF slowing to 7.7% y-o-y in May, from 7.8% in April, the weakest monthly reading on record.
- New RMB loans in May totalled RMB520bn, notably below market expectations (Consensus: RMB440bn; Nomura: RMB126bn; May 2025: RMB620bn), with growth in outstanding RMB loans declining to 5.5% y-o-y in May from 5.6% in April, reaching another historical low.
- M2 growth came in at 8.6% y-o-y in May, unchanged from April, while M1 growth increased to 5.5% from 5.0%.

New RMB loans remained below its year earlier level

New RMB loans totaled RMB520bn in May, slightly above the market consensus of RMB450bn, but still below its year earlier level of RMB620bn. New bill financing remained

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elevated and well above its year earlier level, indicating even weaker loan demand in the corporate sector than the headline number suggests.

A breakdown of bank loans

New RMB loans to the corporate sector increased to RMB640bn in May from RMB530bn a year earlier, as new medium- to long-term loans fell to -RMB20bn from RMB330bn, while new short-term loans came in at RMB100bn in May, largely unchanged from RMB110bn a year earlier. Meanwhile, new bill financing increased to RMB557bn in May from RMB75bn a year earlier, suggesting actual corporate loan demand could have been much weaker.

New RMB loans extended to the household sector remained negative in May, falling to -RMB141bn from RMB54bn a year earlier, as both new short-term and medium- to long-term components fell to -RMB84bn and -RMB57bn, respectively, from -RMB21bn and RMB75bn. The protracted contraction in household loans suggests continued deleveraging of the household sector.

New RMB loans to non-bank financial institutions fell to -RMB86bn in May from RMB59bn a year earlier.

New household deposits continued to decelerate

The slowdown in household deposits continued. New household deposits turned negative in May, dropping markedly to -RMB110bn in May from RMB470bn a year earlier. This marked its first negative print for the month of May since 2015. Overall new RMB deposits also fell in May to RMB1.77trn from RMB2.18trn a year earlier, as non-bank financial institutions (NBFIs) reported a slightly lower deposit of RMB1.14trn in May (May 2025: RMB1.19trn), suggesting limited substitutions from the household sector. For other sectors, new corporate deposits increased to -RMB170bn in May from -RMB418bn a year earlier, while new fiscal deposits dropped to RMB710bn from RMB880bn.

Details of the new AF data

New aggregate financing totalled RMB2,029bn in May, missing market expectations (Consensus: RMB2,324bn; Nomura: RMB1,316bn; May 2025: RMB2,290bn), with growth in outstanding AF softening to 7.7% y-o-y in May from 7.8% in April, the weakest monthly reading on record. Both bank loan and government bonds were the main causes of the slowdown in AF growth.

A breakdown of new AF

New RMB loans included in AF (excluding loans to financial institutions) dropped to RMB520bn from RMB620bn a year earlier. Net government bond issuance fell to RMB1,222bn in May from RMB1,459bn a year earlier. For other key components, net corporate bond financing ticked up to RMB172bn in May from RMB150bn a year earlier. Net financing from undiscounted bankers' bills improved to -RMB68bn in May from -RMB116bn a year earlier. Shadow financing including new trust loans and entrusted loans were largely unchanged at -RMB4bn in May from RMB0bn a year earlier.

M1 growth ticked up in May, while M2 growth was unchanged

M1 growth increased to 5.5% y-o-y in May from 5.0% in April, while M2 growth edged up to 8.6% y-o-y in May from 8.6% in April, partly driven by a smaller increase in fiscal deposits. Fiscal deposits rose by RMB710bn in May, below the RMB880bn increase a year earlier.

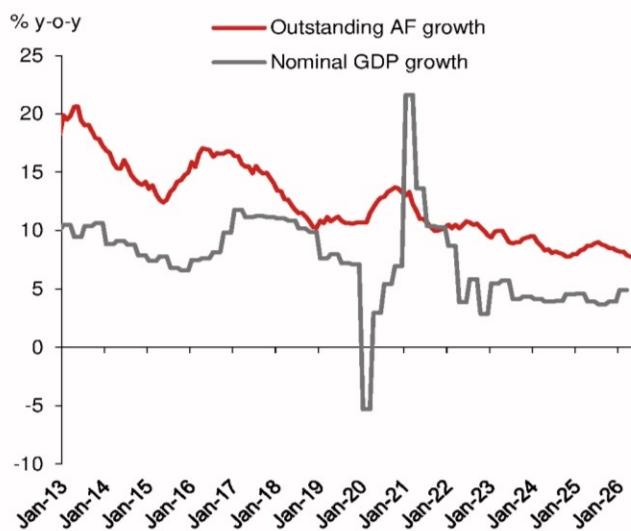
Liquidity conditions remained flush in May, with the daily average DR007 (interbank repo rates between banks only) edging down to 1.34% from 1.35% in April, below the PBoC's 7-day reverse repo rate of 1.40%. *Bloomberg* reported that the PBoC has recently guided banks to reduce interbank lending to drain interbank liquidity. The monthly average yield on the 10-year CGB dipped to 1.75% in May from 1.78% in April. For long-term liquidity management, the PBoC net withdrew RMB1,005bn from the banking system in May (ORR: -RMB1,000bn; MLF: RMB100bn; PSL: -RMB155bn).

Fig. 1: Major money and credit indicators

Major money and credit indicators	May 26	Apr 26	May 25	2025	2024
New RMB loans (RMBbn)	520	-10	620	16,270	18,090
to the corporate sector	640	390	530	15,470	14,330
short-term loans	100	-460	110	4,810	2,610
medium- to long-term loans	-20	-410	330	8,820	10,080
bill financing	557	1,243	75	1,660	1,570
to the household sector	-141	-787	54	442	2,720
short-term loans	-84	-446	-21	-835	473
medium- to long-term loans	-57	-341	75	1,280	2,250
to the non-bank financial institutions	-86	175	59	-110	286
Aggregate financing (AF; RMBbn)	2,029	625	2,290	35,603	32,256
New RMB loans	501	-401	592	15,915	17,050
Entrusted loans	-9	-28	-17	120	-58
Trust loans	5	-13	17	368	398
Undiscounted bankers' acceptance	-68	-528	-116	11	-330
Corporate bond	172	452	150	2,392	1,909
Government bond	1,222	904	1,459	13,837	11,296
M1 growth (% y-o-y)	5.5	5.0	2.3	3.8	1.2
M2 growth (% y-o-y)	8.6	8.6	7.9	8.5	7.3
Outstanding RMB loan growth (% y-o-y)	5.5	5.6	7.1	6.4	7.6
Outstanding AF growth (% y-o-y)	7.7	7.8	8.7	8.3	8.0

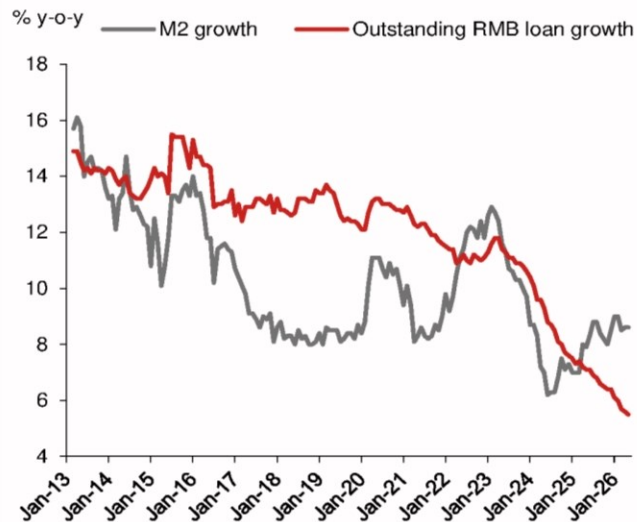
Source: Wind, Nomura Global Economics.

Fig. 2: Outstanding AF growth vs nominal GDP growth



Source: Wind, Nomura Global Economics.

Fig. 3: M2 growth and outstanding RMB loan growth



Source: Wind, Nomura Global Economics.

Appendix A-1

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